

3.2.6 The International Economy

1. Globalisation

Globalisation is the increasing integration and interdependence of the world's economies, brought about by the growth of international trade in goods and services, flows of capital and labour, and the transfer of technology and ideas across national borders.

1.1 Characteristics of Globalisation

- **Rising trade as a share of world GDP** — a growing proportion of what countries produce is sold abroad, and a growing proportion of what they consume is imported.
- **Global supply chains** — production is fragmented across countries. A single product (e.g. an iPhone or an Airbus wing) may be designed in one country, have components made in five more and be assembled in another.
- **Growth of foreign direct investment (FDI)** — firms build or buy productive capacity abroad rather than simply exporting to those markets.
- **Increased migration of labour** — both low-skilled and high-skilled workers move between countries in search of higher wages.
- **Financial market integration** — capital can move almost instantly between countries; shocks in one financial centre transmit rapidly to others.
- **Convergence of consumer tastes** — global brands and digital media create similar demand patterns across very different countries.
- **Growing influence of multinational corporations (MNCs) and supranational bodies** such as the WTO, IMF and World Bank.

1.2 Causes of Globalisation

Cause	Explanation
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Falling transport costs	Containerisation (from the late 1950s), larger ships and cheaper air freight have cut the cost of moving goods dramatically, making it viable to produce far from the final market.
Falling communication and IT costs	The internet, fibre-optic cables and cloud computing allow firms to coordinate production, design and customer service across continents in real time. This is what made offshoring of services possible.
Trade liberalisation	Successive GATT rounds and then the WTO (from 1995) cut average tariffs sharply. Regional trade agreements (EU, USMCA, CPTPP) removed further barriers.
Deregulation of financial markets	The removal of capital controls (the UK abolished exchange controls in 1979) allowed capital to flow freely in search of the highest return.
Collapse of communism and the opening of China	China's reforms from 1978 and its WTO accession in 2001, plus the end of the Soviet bloc, added roughly a billion workers to the effective global labour force.
Growth of MNCs	Large firms actively created global supply chains to exploit lower costs, larger markets and economies of scale.

1.3 Multinational Corporations (MNCs)

A **multinational corporation** is a firm that owns or controls production or service facilities in more than one country. MNCs are the main vehicle through which foreign direct investment takes place.

Why do firms become multinational?

- **Lower production costs** — access to cheaper labour, land or raw materials.
- **Market access** — producing inside a market avoids tariffs and transport costs and gets round non-tariff barriers ("tariff jumping" FDI).
- **Economies of scale** — serving a global market allows much larger plants and lower long-run average costs.
- **Access to raw materials** — extractive industries must locate where the resources are.

- **Avoiding regulation and tax** — looser environmental or labour standards, and transfer pricing to shift declared profits to low-tax jurisdictions.

Impact of MNCs on host countries

Potential benefits	Potential costs
Injection of FDI raises AD and, if it adds to the capital stock, shifts LRAS right. Creates employment and raises incomes. Technology and management transfer raises domestic productivity. Corporation tax and income tax revenue rises. Local suppliers benefit from positive spillovers.	Profits are repatriated, worsening the primary income balance on the current account. Local firms may be driven out (monopsony power over suppliers, monopoly power in the product market). Environmental damage and poor working conditions where regulation is weak. Transfer pricing can mean very little tax is actually paid. Footloose capital — the MNC can relocate at short notice.

1.4 Consequences of Globalisation: Winners and Losers

Group	Winners	Losers
Consumers	Lower prices, wider choice, access to goods that could not be produced domestically.	Loss of local variety; some goods become more expensive if global demand outstrips supply (e.g. food and energy commodities).
Workers	Workers in emerging economies gaining manufacturing and service jobs; high-skilled workers in advanced economies whose skills are complementary to trade.	Low-skilled workers in advanced economies facing import competition and offshoring — structural unemployment in former industrial regions.
Firms	Exporters and MNCs able to exploit economies of scale and cheaper inputs.	Domestic firms in import-competing sectors unable to match foreign costs.
Governments	Faster growth widens the tax base; FDI adds capacity.	Reduced ability to tax mobile capital and profits; loss of policy autonomy; greater exposure to external shocks.

Environment	Faster diffusion of green technology; income growth can fund abatement.	Higher emissions from transport and production; "pollution havens" where regulation is weakest; depletion of natural capital.
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Evaluation: Is globalisation a net gain?

- **Aggregate gains are real but unevenly distributed.** Trade raises world output, but the gains accrue to consumers and exporters in small amounts each, while the losses are concentrated on particular regions and occupations. This concentration explains the political backlash against trade.
- **Compensation is possible in theory but rare in practice.** Winners could in principle compensate losers through redistribution and retraining; in practice regional and structural unemployment has often persisted for decades.
- **Interdependence cuts both ways.** Integrated supply chains lower costs but transmit shocks: the 2008 financial crisis, the COVID-19 pandemic and the 2022 energy shock all spread rapidly through global linkages.
- **The direction of travel is no longer one-way.** Since 2018 tariffs, export controls and "friend-shoring" have partially reversed integration in some sectors — often called slowbalisation or fragmentation.

2. The Theory of Trade: Absolute and Comparative Advantage

Absolute advantage exists when a country can produce more of a good than another country using the same quantity of resources (or the same output using fewer resources).

Comparative advantage exists when a country can produce a good at a lower *opportunity cost* than another country. David Ricardo (1817) showed that mutually beneficial trade is possible whenever opportunity costs differ, *even if* one country has an absolute advantage in everything.

2.1 A Worked Numerical Example

Suppose two countries each have a fixed quantity of resources. If each devoted *all* of its resources to one good, the maximum output would be:

Maximum output	Machinery (units)	Textiles (units)
Country A	200	400
Country B	100	300

Country A has an **absolute advantage in both goods** ($200 > 100$ and $400 > 300$). Ricardo's insight is that this does not rule out gains from trade. We must compare **opportunity costs**:

Opportunity cost	Cost of 1 unit of machinery	Cost of 1 unit of textiles
Country A	$400 / 200 = \mathbf{2 \text{ textiles}}$	$200 / 400 = \mathbf{0.5 \text{ machinery}}$
Country B	$300 / 100 = \mathbf{3 \text{ textiles}}$	$100 / 300 = \mathbf{0.33 \text{ machinery}}$

- Country A gives up only **2** textiles per machine, against **3** for Country B → **Country A has the comparative advantage in machinery.**
- Country B gives up only **0.33** machines per textile, against **0.5** for Country A → **Country B has the comparative advantage in textiles.**

Step 1: Output before trade (each country splits its resources equally)

Before specialisation	Machinery	Textiles
Country A	100	200
Country B	50	150
World total	150	350

Step 2: Output after specialisation

Country B specialises completely in textiles. Country A specialises *partially* in machinery, producing 160 machines and using the remaining resources for 80 textiles (moving along its PPF, where each extra machine costs 2 textiles).

After specialisation	Machinery	Textiles
Country A	160	80
Country B	0	300
World total	160 (+10)	380 (+30)

World output of both goods has risen — this is the gain from specialisation.

Step 3: Trade at mutually acceptable terms of trade

Trade is beneficial to both at any rate of exchange *between* the two opportunity-cost ratios, i.e. between 1 machine = 2 textiles and 1 machine = 3 textiles. Take **1 machine = 2.5 textiles**. Country A exports 60 machines and receives 150 textiles in return:

Consumption	Machinery before	Textiles before	Machinery after	Textiles after	Gain
Country A	100	200	100	230	+30 textiles
Country B	50	150	60	150	+10 machinery

Both countries now consume **outside their own production possibility frontier**. That is the gain from trade.

Exam Tip: In a numerical comparative advantage question, always (1) state who has the absolute advantage, (2) calculate the opportunity cost ratios explicitly, (3) allocate comparative advantage to the country with the *lower* opportunity cost, and (4) state the range of mutually beneficial terms of trade. Marks are awarded for the ratios, not for the conclusion alone. If the opportunity cost ratios are *identical* in both countries, there is no comparative advantage and no gain from trade.

2.2 Other Sources of Gains from Trade

- **Economies of scale** — a larger market allows longer production runs, lowering long-run average cost.
- **Greater choice and variety** for consumers, and access to goods the country cannot produce at all.

- **Increased competition** — import competition erodes domestic monopoly power, lowering prices and increasing X-efficiency and innovation.
- **Transfer of technology and ideas** embodied in imported capital goods and in FDI.
- **Higher living standards** — the real value of income rises when the same money income buys cheaper imported goods.

2.3 The Limiting Assumptions of Comparative Advantage

- **Constant returns to scale and constant opportunity costs** — the model uses straight-line PPFs. In reality opportunity costs rise as resources are transferred (concave PPF), which limits the extent of specialisation.
- **Zero transport costs** — if transport and insurance costs exceed the cost advantage, trade will not occur.
- **No trade barriers** — tariffs, quotas and regulatory divergence all erode the gains.
- **Perfect factor mobility within countries** — in practice workers displaced by imports face occupational and geographical immobility, causing structural unemployment. The model shows the long-run destination but ignores the adjustment cost.
- **Factors are assumed immobile between countries** — yet capital and labour are now highly mobile, and MNCs may simply relocate rather than trade.
- **Two countries, two goods, homogeneous products** — much real trade is intra-industry trade in differentiated products (the UK both imports and exports cars), which the model does not explain.
- **Over-specialisation risk** — a country that specialises narrowly is highly exposed to a fall in world demand or price for that product, and may suffer from the "Dutch disease" or from a long-run deterioration in its terms of trade (the Prebisch–Singer hypothesis for primary-product exporters).

2.4 The Terms of Trade

$$\text{Terms of trade} = (\text{Index of export prices} / \text{Index of import prices}) \times 100$$

- An **improvement** (the index rises) means export prices have risen relative to import prices: a given volume of exports now buys more imports.

- An improvement is not unambiguously good: if it is caused by an appreciation, export *volumes* may fall and the current account may worsen (depending on elasticities).
- A **deterioration** means more exports must be sold to pay for the same imports — a real income loss, though it may improve competitiveness.

3. The Pattern of UK Trade

3.1 How the Pattern Has Changed

- **From goods to services.** The UK has run a large and persistent deficit on trade in goods and a large surplus on trade in services. In 2025 the UK ran a **£221 billion deficit on trade in goods** partly offset by a **£203 billion surplus on trade in services**, giving an overall trade deficit of about £18 billion. The service surplus reflects comparative advantage in financial and business services, insurance, education and the creative industries.
- **From the Commonwealth to Europe, and now partial diversification.** Before 1973 a large share of UK trade was with Commonwealth countries; accession to the EEC reoriented trade towards Europe. The **EU remains the UK's largest trading partner**, taking roughly half of UK goods trade and about 40% of services trade.
- **Growth of trade with emerging economies**, particularly China and other Asian economies, on the import side.
- **Rise of intra-industry trade** — the UK exports and imports within the same industries (vehicles, pharmaceuticals, chemicals), driven by product differentiation and fragmented supply chains rather than by classical comparative advantage.
- **New agreements outside the EU.** CPTPP countries account for about **8.1% of UK goods exports and 8.3% of services exports** — significant but far smaller than the EU share.

Case Study: The UK and the CPTPP (2024–2026)

The UK joined the Comprehensive and Progressive Agreement for Trans-Pacific Partnership on **15 December 2024**, becoming the first non-founding member and the first European member. Canada ratified UK accession on 3 July 2026 and it entered into force on **1 September 2026**, so UK businesses now have preferential access to all 11 other members. Over 99% of UK goods exported to CPTPP countries are eligible to be tariff-free. However, the government's own estimate of the long-run gain is about **£2 billion a year** — roughly 0.08% of GDP. This is the central evaluation

point: geographically distant agreements are worth far less than deep integration with a large neighbouring market, because trade falls sharply with distance (the "gravity" relationship).

4. Protectionism

Protectionism is the use of policies by a government to restrict imports and shield domestic producers from foreign competition.

4.1 Instruments of Protection

Instrument	How it works	Effects
Tariff	A tax on imported goods, either specific (per unit) or ad valorem (a percentage of value).	Raises the domestic price of imports, reduces import volume, raises government revenue, creates deadweight welfare loss.
Quota	A physical limit on the quantity of a good that may be imported in a given period.	Raises the domestic price like a tariff, but the extra revenue accrues to whoever holds the import licence (often foreign suppliers) rather than to the government.
Subsidy to domestic producers	A payment to domestic firms lowering their costs.	Shifts domestic supply right, so domestic output replaces imports without raising the consumer price. Costly to taxpayers; no consumer surplus loss.
Non-tariff barriers	Regulations, standards, product specifications, labelling rules, customs paperwork, rules of origin, sanitary and phytosanitary (SPS) checks.	Raise the cost of exporting into the market. Increasingly the main form of protection now that average tariffs are low. Hard to challenge because they can be justified on safety grounds.
Embargo	A complete ban on trade in a good or with a country.	Usually political (sanctions) rather than economic.

Exchange rate manipulation

Deliberately holding the currency below its market value.

Makes all exports cheaper and all imports dearer simultaneously — an across-the-board protective measure.

4.2 The Effects of a Tariff: Diagram Analysis

Assume the country is a **price taker** on world markets, so world supply is perfectly elastic at the world price P_w . A specific tariff T raises the price paid by domestic consumers to $P_w + T$.

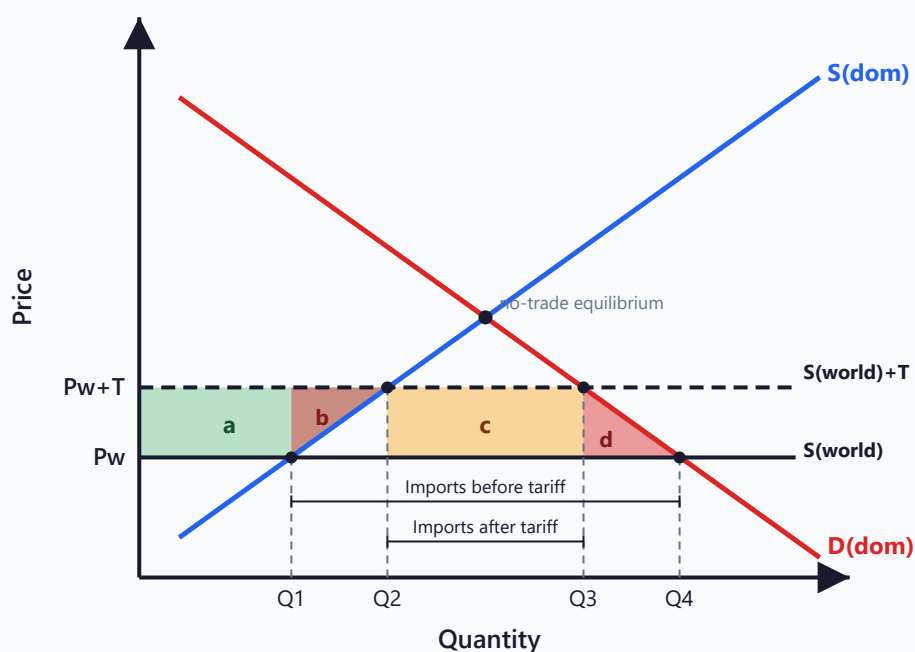


Figure 1: The welfare effects of a tariff. Price rises from P_w to $P_w + T$; domestic output rises from Q_1 to Q_2 ; consumption falls from Q_4 to Q_3 ; imports fall from $Q_1 - Q_4$ to $Q_2 - Q_3$.

Reading the areas

Area	Who is affected	Effect
a + b + c + d	Consumers	Fall in consumer surplus. Consumers pay a higher price on a smaller quantity.

a	Domestic producers	Gain in producer surplus. They receive a higher price and sell more ($Q1 \rightarrow Q2$). This is a transfer from consumers, not a net gain to society.
c	Government	Tariff revenue = tariff per unit $\times$ imports after the tariff, i.e. $T \times (Q3 - Q2)$. Also a transfer from consumers.
b	Society	Production deadweight loss. Output between $Q1$ and $Q2$ is produced domestically at a higher resource cost than it could be imported for — a misallocation of resources.
d	Society	Consumption deadweight loss. Consumers who valued the good above the world price but below $P_w + T$ no longer buy it; that surplus is destroyed, not transferred.

Net welfare effect = $-(b + d)$. The tariff causes a net welfare loss equal to the two triangles, because a and c are only transfers between groups within the country.

Exam Tip: The commonest error is to claim the whole loss of consumer surplus is a welfare loss. It is not — most of it is transferred to producers (a) and to the government (c). Only the two triangles (b and d) are lost to the economy. Label the areas on your diagram and say explicitly which are transfers and which are deadweight losses.

4.3 Arguments For Protectionism

- **Infant industry argument** — a new domestic industry needs temporary protection to achieve the economies of scale and learning-by-doing needed to compete. Counter: who decides which industries? Protection tends to become permanent and to remove the incentive to become efficient.
- **Protecting employment and preventing structural unemployment** — particularly where an industry is concentrated in a region with few alternatives. Counter: it protects jobs in the protected sector at the expense of jobs in exporting sectors and in industries that use the protected good as an input.
- **Preventing dumping** — dumping is selling exports below cost or below the domestic price, often to drive out rivals. Anti-dumping duties are explicitly permitted by WTO rules. Counter: "dumping" claims are frequently a disguise for ordinary cost advantage.

- **Correcting a current account deficit** — restricting imports directly improves the trade balance. Counter: it treats a symptom, invites retaliation, and does nothing about the underlying lack of competitiveness.
- **Strategic, food and national security** — maintaining domestic capacity in defence, energy, semiconductors, medicines and food. This argument gained force after the COVID-19 supply-chain disruptions and the 2022 energy shock.
- **Raising government revenue** — historically important, and still significant for some low-income countries with limited capacity to collect income tax.
- **Preventing a race to the bottom** in environmental and labour standards; carbon border adjustment mechanisms are a modern version of this argument.

4.4 Arguments Against Protectionism

- **Higher prices and lower consumer surplus**, with a regressive impact because tariffs fall most heavily on goods that form a larger share of low-income households' spending.
- **Misallocation of resources** — production is drawn into industries where the country does not have a comparative advantage (deadweight loss b).
- **Reduced competition** → X-inefficiency, less innovation and weaker productivity growth in the protected industry.
- **Higher costs for domestic firms** that use the protected good as an input, damaging their competitiveness (steel tariffs hurt car and construction firms).
- **Retaliation and trade wars** — other countries impose their own barriers, so export industries lose.
- **Damage to developing countries** — agricultural protection in rich countries blocks the exports in which many low-income countries have a comparative advantage.

Case Study: US Tariffs and the UK, 2025–2026

A **10% baseline tariff** has applied to imports from the UK into the United States. On **20 February 2026** the **US Supreme Court ruled that the International Emergency Economic Powers Act (IEEPA) does not authorise the President to impose tariffs**, removing the legal basis for the so-called "reciprocal" tariffs. The President then imposed a new **global 10% tariff under section 122 of the Trade Act of 1974**, which is valid for 150 days unless Congress extends it. The **US–UK Economic Prosperity Deal**, agreed in May 2025, keeps the 10% headline rate on UK goods but includes sector carve-outs, notably a **0% tariff on UK pharmaceutical products**. There is still no comprehensive US–UK free trade agreement.

Why this matters for the exam: it illustrates (i) that tariffs are borne substantially by the importing country's own consumers and firms, (ii) that sectoral carve-outs are the product of lobbying and bargaining power rather than economic efficiency, and (iii) that policy uncertainty itself has an economic cost — firms delay investment when the legal basis of trade policy can change at short notice.

5. The Balance of Payments

The **balance of payments** is a record of all financial transactions between residents of one country and the rest of the world over a given period. It is divided into the **current account**, the **capital account** and the **financial account**. In principle the accounts sum to zero (with a balancing item for errors and omissions), so a current account deficit must be matched by a net inflow on the capital and financial accounts.

5.1 Structure of the Accounts

Account	Components	Examples
Current account	Trade in goods (visible trade)	Exports and imports of cars, pharmaceuticals, oil, food, machinery.
	Trade in services (invisible trade)	Financial and insurance services, tourism, education, consultancy, transport, royalties.
	Primary income	Interest, profits and dividends earned on assets held abroad, minus those paid to foreign owners of UK assets; also wages earned across borders.
	Secondary income	Transfers with nothing given in return: foreign aid, migrant remittances, payments to international organisations.

Capital account	Capital transfers and non-produced, non-financial assets	Debt forgiveness, transfers by migrants, sales of patents, copyrights and land by embassies. Small in the UK.
Financial account	FDI, portfolio investment, other investment, reserve assets	A Japanese firm buying a UK factory; a pension fund buying US shares; changes in the Bank of England's foreign currency reserves.

Exam Tip: Note the sign convention. An *inflow* of money on the current account (an export, or investment income received) is a credit; an outflow (an import) is a debit. On the financial account, an *inflow* of capital (a foreigner buying a UK asset) finances a current account deficit. So a current account deficit and a financial account surplus are two sides of the same transaction — do not describe them as two separate problems.

Case Study: The UK Current Account, 2024–2026 (ONS)

The UK's underlying current account deficit excluding precious metals was **£15.1 billion, or 1.9% of GDP, in Q2 2026**, down from £18.2 billion (2.4% of GDP) in Q1 2026. For 2025 as a whole the current account deficit was **2.4% of GDP**, against 2.8% in 2024. The composition is the key point: in 2025 the UK ran a **£221 billion deficit on trade in goods** partly offset by a **£203 billion surplus on trade in services**, giving an overall trade deficit of about £18 billion. The UK is therefore running a structural goods deficit financed partly by service exports and partly by capital inflows.

5.2 Causes of a Current Account Deficit

Cyclical (short-run) causes	Structural (long-run) causes
- Strong domestic growth relative to trading partners — rising incomes suck in imports (high marginal propensity to import). - Recession in export markets reduces demand for exports. - A temporarily strong exchange rate makes exports dear and imports cheap.	- Low productivity and high relative unit labour costs — a long-standing UK weakness. - Non-price uncompetitiveness: quality, design, reliability, delivery, after-sales service. - Deindustrialisation — a small manufacturing base means much consumer demand must be met by imports.

- A spike in world commodity prices raises the import bill for a net energy importer.
- Persistently low investment and R&D relative to competitors.
- Depletion of North Sea oil, turning the UK from a net energy exporter to a net importer.
- Large foreign ownership of domestic assets, so profits are repatriated, weakening primary income.

5.3 Policies to Correct a Current Account Deficit

Policy	Mechanism	Evaluation
Expenditure-reducing (deflationary fiscal or monetary policy)	Raise taxes, cut government spending or raise interest rates to reduce AD. Lower real incomes cut import demand; spare capacity may also lower domestic inflation and improve competitiveness.	Works, but at the cost of lower growth and higher unemployment. Conflicts directly with the growth and employment objectives. Higher interest rates may also attract capital inflows and appreciate the currency, partly offsetting the effect.
Expenditure-switching (depreciation or devaluation)	A lower exchange rate makes exports cheaper abroad and imports dearer at home, switching spending towards domestic output.	Only improves the balance if the Marshall–Lerner condition holds, and then only after the J-curve lag. Raises imported inflation, and may be neutralised if trading partners also devalue.
Protectionism	Tariffs and quotas directly reduce import volumes.	Risks retaliation, breaches WTO obligations, raises consumer prices and protects inefficiency. Generally a last resort.
Supply-side policies	Investment in education, skills, infrastructure, R&D tax credits, competition policy and deregulation to raise productivity	Addresses the structural cause rather than the symptom, and is compatible with growth and low inflation. But effects take many years and the

and improve non-price competitiveness.

outcomes are uncertain — a long time horizon relative to the political cycle.

5.4 The Significance of Global Imbalances

Global imbalances are large and persistent current account surpluses in some economies (historically China, Germany, Japan, the oil exporters) matched by large deficits in others (notably the United States and the UK).

- **Why they matter:** surplus countries accumulate claims on deficit countries. Deficit countries accumulate external liabilities and must service them from future income, worsening primary income. The recycling of surplus savings into deficit-country asset markets was one contributor to the low global interest rates and credit boom before 2008.
- **Why a deficit may not matter:** if it is financed by long-term FDI that raises productive capacity, rather than by short-term "hot money"; if it is small relative to GDP and stable; if the country borrows in its own currency; and if a floating exchange rate provides an automatic correction mechanism.
- **Why it may matter a great deal:** a sudden stop in capital inflows forces a rapid and painful adjustment — a sharp depreciation, imported inflation, and a forced contraction of domestic demand.
- **Political consequences:** persistent bilateral deficits are politically salient and have been used to justify tariffs, even though a bilateral deficit with one country carries little economic information.

Evaluation: Is a current account deficit a problem?

- **It depends on the cause.** A deficit driven by imports of capital equipment that raise future productive capacity is very different from one driven by a consumption boom.
- **It depends on the size and persistence.** The UK deficit at 1.9% of GDP in Q2 2026 is far more manageable than the 5%-plus figures recorded in the mid-2010s.
- **It depends on how it is financed.** Long-term FDI is stable; portfolio flows can reverse quickly. Mark Carney's description of the UK as relying on "the kindness of strangers" captured this vulnerability.
- **It depends on the exchange rate regime.** With a floating rate, a deficit tends to weaken the currency, which helps correct it. Under a fixed rate, there is no automatic mechanism, and reserves can be exhausted.

6. Exchange Rate Systems

An **exchange rate** is the price of one currency expressed in terms of another. An **appreciation** is a rise in the value of a floating currency; a **depreciation** is a fall. Under a fixed system, a deliberate policy change is called a **revaluation** or a **devaluation**.

6.1 The Three Systems

System	How it works	Advantages	Disadvantages
Floating	The rate is determined entirely by demand for and supply of the currency in the foreign exchange market. The UK has floated since leaving the ERM in September 1992.	Automatic adjustment of the current account; no need to hold large reserves; monetary policy is freed to target domestic objectives (the "impossible trinity" — a country can have only two of free capital movement, a fixed rate and independent monetary policy).	Volatility creates uncertainty for exporters and importers and may deter investment; speculation can push the rate away from fundamentals; imported inflation when the currency falls.
Fixed	The government commits to a particular value and the central bank buys or sells its own currency using reserves to defend it (e.g. Bretton Woods, 1944–71).	Certainty for traders and investors; imposes discipline on domestic inflation; removes speculative pressure if credible.	Requires large reserves; monetary policy is subordinated to the peg; the rate can become misaligned; vulnerable to speculative attack.
Managed (dirty) float	The rate is mostly market-determined, but the authorities intervene through reserves or interest	Combines flexibility with some stability; allows intervention against destabilising speculation.	Lack of transparency; may be seen by trading partners as currency manipulation; intervention

rates to smooth movements or to keep the rate within an informal band.

can be very costly if it fights the market.

6.2 Determination of a Floating Exchange Rate

Demand for sterling comes from foreigners buying UK exports, foreigners investing in the UK (FDI and portfolio flows), speculators expecting sterling to rise, and central banks adding sterling to reserves.

Supply of sterling comes from UK residents buying imports, UK investment abroad, and speculative selling.

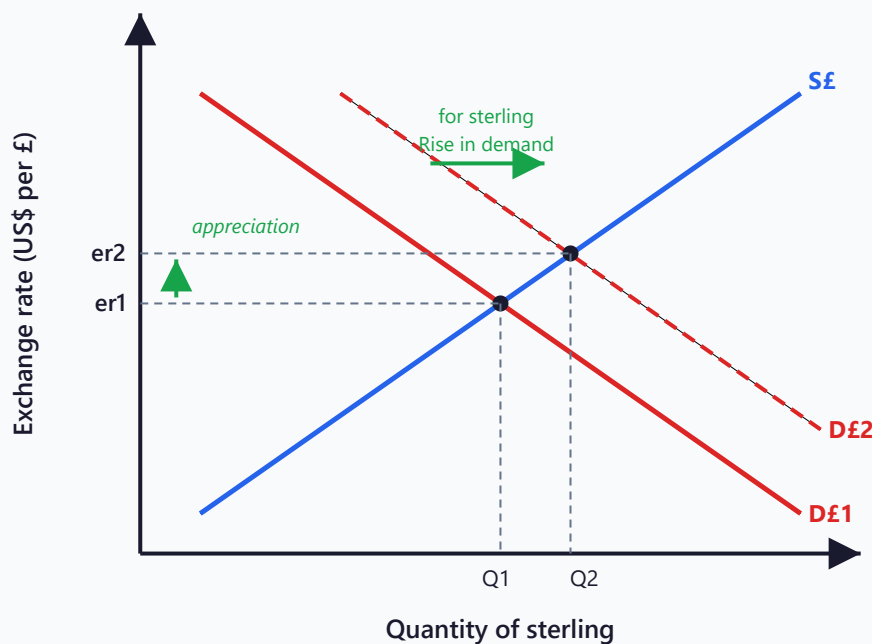


Figure 2: The foreign exchange market for sterling. An increase in demand for sterling ($D£1$ to $D£2$) — for example from stronger export demand or from higher UK interest rates attracting capital inflows — raises the exchange rate from $er1$ to $er2$: an appreciation.

Causes of a shift in demand for or supply of sterling

Appreciation of sterling if...

Depreciation of sterling if...

- UK interest rates rise relative to those abroad, attracting hot money inflows.
- UK exports become more attractive (higher quality, lower relative inflation).
- Inward FDI rises — foreign firms must buy sterling.
- Speculators expect sterling to rise and buy in advance.
- The Bank of England buys sterling using the reserves.

- UK interest rates fall relative to those abroad, or the market expects cuts.
- UK inflation is higher than in competitor countries, eroding competitiveness.
- UK residents import more or invest more abroad.
- Political or fiscal uncertainty reduces confidence in UK assets.
- Speculators sell sterling.

Case Study: Sterling and Interest Rate Divergence, September 2026

In mid-September 2026 sterling traded at roughly **\$1.34** and **€1.17**, softening to about \$1.336 on 22 September. The **Bank of England held Bank Rate at 3.75% on 17 September 2026** with UK CPI inflation running at about 3% in August 2026, while the **European Central Bank raised its deposit rate to 2.50% on 10 September 2026**. The narrowing of the interest rate differential between the UK and the euro area reduces the relative attractiveness of sterling-denominated assets, which shifts the demand curve for sterling to the left and puts downward pressure on the pound against the euro. This is the textbook interest-rate channel operating in real time.

6.3 Effects of Exchange Rate Changes on the Macroeconomy

The memory aids are **SPICED** (Strong Pound, Imports Cheap, Exports Dear) and **WPIDEC** (Weak Pound, Imports Dear, Exports Cheap).

Objective	Effect of a depreciation	Effect of an appreciation
Net trade and AD	Exports cheaper abroad, imports dearer at home → $(X - M)$ rises if Marshall–Lerner holds → AD shifts right.	$(X - M)$ falls → AD shifts left.
Growth and employment	Higher AD raises real output and employment, especially if there is spare	Lower AD reduces growth; job losses concentrated in exporting

	capacity.	and import-competing sectors.
Inflation	Cost-push inflation from dearer imported raw materials, components and energy; demand-pull inflation from higher AD; and less competitive pressure on domestic firms.	Disinflationary — cheaper imported inputs shift SRAS right and import competition restrains domestic pricing.
Current account	Worsens then improves (the J-curve), provided the Marshall–Lerner condition is met.	Tends to worsen the current account, though the terms of trade improve.
Real incomes	Fall, because imported goods cost more — the terms of trade deteriorate.	Rise, because imports are cheaper.

6.4 The Marshall–Lerner Condition

The **Marshall–Lerner condition** states that a depreciation (or devaluation) will improve the current account balance only if the sum of the price elasticities of demand for exports and imports is greater than one:

$$PED_{\text{exports}} + PED_{\text{imports}} > 1$$

- If the sum **exceeds 1**, demand is relatively elastic overall: the rise in export volumes and the fall in import volumes outweigh the worsening of the terms of trade, so the balance improves.
- If the sum is **less than 1**, demand is relatively inelastic: import volumes barely fall while each import costs more, so the current account actually *worsens*.
- If the sum **equals 1**, the balance is unchanged.

Elasticities are lower in the short run than in the long run, because contracts are fixed, buyers take time to find new suppliers and firms take time to build capacity. This is precisely why the J-curve occurs.

6.5 The J-Curve Effect

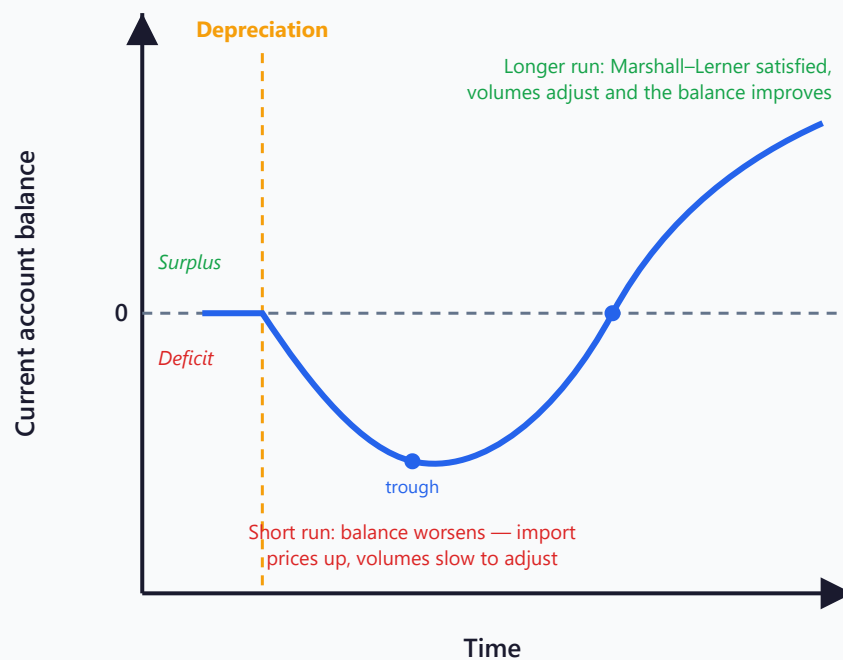


Figure 3: The J-curve. Immediately after a depreciation the current account balance deteriorates; once export and import volumes respond, the balance improves and may move into surplus. The path traced out resembles the letter J.

Why the J-curve happens

1. **Immediately after the depreciation**, prices change but volumes do not. Import prices in sterling rise straight away, while export and import contracts are already fixed in volume terms.
2. **The import bill therefore rises** and the current account worsens. In effect, short-run elasticities are low, so the Marshall-Lerner condition is *not* met in the short run.
3. **Over time, buyers respond**. Foreign customers switch to now-cheaper UK exports, UK consumers and firms substitute away from dearer imports, and UK firms invest in capacity to meet the new export demand.
4. **Elasticities rise with time**, the Marshall-Lerner condition is satisfied, and the balance improves — producing the characteristic J shape.

Exam Tip: Always link the J-curve back to the Marshall-Lerner condition explicitly — the J-curve is the time path of elasticities. And note the evaluation: the J-curve assumes the improvement eventually arrives. If the economy is supply-constrained, if imports are necessities with no

substitutes (energy, food, components), or if the depreciation triggers a wage–price spiral, the upward arm of the J may never materialise.

6.6 Competitive Devaluation

A **competitive devaluation** (or "currency war", sometimes called a beggar-my-neighbour policy) occurs when a country deliberately lowers its exchange rate to gain a trade advantage.

- It can only work if other countries do not retaliate. Because one country's depreciation is by definition another's appreciation, the gain comes at a partner's expense.
- If several countries devalue simultaneously, relative rates are unchanged, so nothing is gained — but global inflation rises and confidence in the international monetary system falls. This happened in the 1930s and worsened the Great Depression.
- Accusations of currency manipulation are a recurring source of trade tension and are used to justify tariffs.
- **Evaluation:** devaluation buys time but does not address the underlying causes of uncompetitiveness; productivity and non-price competitiveness require supply-side reform.

7. Economic Integration

7.1 Stages of Integration

Stage	Features	Example
Free trade area	Tariffs and quotas removed between members, but each member keeps its own external tariff. Requires rules of origin to stop goods entering through the lowest-tariff member.	CPTPP; the UK–EU Trade and Cooperation Agreement in effect operates as one.
Customs union	Free trade area <i>plus</i> a common external tariff on imports from non-members. No rules of origin needed internally; members lose the ability to set independent trade policy.	The EU Customs Union; Mercosur.

Single (common) market	Customs union <i>plus</i> free movement of goods, services, capital and labour, and harmonised regulation and standards, removing non-tariff barriers.	The EU Single Market (from 1993).
Monetary union	Single market <i>plus</i> a common currency and a single central bank, so members share one monetary policy and no longer have an exchange rate against each other.	The eurozone (from 1999), with monetary policy set by the ECB.
Full economic union	Monetary union <i>plus</i> harmonised fiscal policy and substantial fiscal transfers between members.	No complete example; the eurozone has monetary but only limited fiscal union.

7.2 Trade Creation and Trade Diversion (Viner)

Trade creation occurs when the formation of a customs union shifts production from a higher-cost domestic producer to a lower-cost producer within the union, because the internal tariff has been removed. This raises welfare.

Trade diversion occurs when the common external tariff shifts production from a lower-cost producer *outside* the union to a higher-cost producer *inside* it. This lowers welfare.

A simple illustration

Suppose the UK could buy a good from a non-member at £80 or from an EU member at £90, and could produce it domestically at £100. With a 40% tariff applied to all imports:

- **Before the union:** the non-member costs $£80 \times 1.4 = £112$ and the EU member $£90 \times 1.4 = £126$, so the UK buys domestically at £100.
- **After joining:** the EU member is now tariff-free at £90 while the non-member still costs £112. The UK switches from the £100 domestic producer to the £90 EU producer — this is **trade creation**, a £10 per unit saving.
- **But** the genuinely cheapest producer is the £80 non-member. The tariff wall keeps that supplier out — this is **trade diversion**, costing £10 per unit relative to the efficient outcome.

Whether a customs union raises welfare overall depends on whether creation exceeds diversion. Creation is more likely when members are geographically close, have similar income levels, previously had high tariffs against each other, and have a low common external tariff.

7.3 The European Union and the UK's Post-Brexit Trading Relationship

Arguments made for EU membership

- Tariff-free, frictionless access to a market of around 450 million consumers.
- Economies of scale for firms serving the whole single market.
- Free movement of labour easing skill shortages; free movement of capital attracting FDI into the UK as a gateway to the single market.
- Greater bargaining power in trade negotiations with the US and China than any single member state.
- Structural and regional funds; harmonised standards lowering compliance costs.

Arguments made against EU membership

- Trade diversion and the common external tariff raising the price of non-EU food and goods.
- The Common Agricultural Policy sustaining high food prices and harming developing-country exporters.
- Loss of the ability to set independent trade policy and to sign bilateral agreements.
- The net budget contribution; regulatory burden on firms that do not export.
- Loss of sovereignty over migration, regulation and, for eurozone members, monetary policy.

Case Study: UK–EU Relations after Brexit, 2021–2026

The **Trade and Cooperation Agreement (TCA)** has applied since 2021. It provides for tariff-free and quota-free trade in goods that meet rules of origin, but it does *not* remove non-tariff barriers: customs declarations, rules-of-origin paperwork and sanitary and phytosanitary (SPS) checks all raise the cost of trading, and it gives only limited coverage of services — the UK's main export strength.

At a **UK–EU summit in May 2025** the two sides agreed a Joint Statement establishing a new Strategic Partnership. Its elements include work towards a **common sanitary and phytosanitary (SPS) area** (the EU adopted its negotiating mandate in November 2025, and the UK hopes an agreement will be in place by 2027), linking the UK and EU emissions trading schemes, and

negotiations on a youth experience scheme. A **review of the TCA's implementation takes place in 2026**.

Analysis: an SPS agreement would cut non-tariff barriers on agri-food, where checks are most burdensome, and would be a partial reversal of the increase in trade costs since 2021. But it also illustrates the trade-off at the heart of integration: lower barriers require accepting common rules, which is exactly the sovereignty cost that integration involves.

7.4 The World Trade Organization (WTO)

The **WTO** was established on 1 January 1995 as the successor to the General Agreement on Tariffs and Trade (GATT, 1948). It provides a framework of rules for international trade, a forum for negotiating liberalisation, and a mechanism for settling disputes between members.

Core principles

- **Most-favoured nation (MFN)** — a concession granted to one member must be granted to all, so members cannot discriminate between trading partners.
- **National treatment** — imported goods must be treated no less favourably than domestically produced goods once they are in the market.
- **Binding tariff commitments** — members agree maximum ("bound") tariff rates that they will not exceed.
- **Permitted exceptions** — customs unions and free trade areas, anti-dumping and countervailing duties, safeguards, and special and differential treatment for developing countries.

Criticisms and limitations

- The Doha Development Round, launched in 2001, has never been concluded — decision-making requires consensus among a very large membership.
- The Appellate Body of the dispute settlement system has been unable to function since 2019 because appointments to it have been blocked, weakening enforcement.
- The proliferation of bilateral and regional agreements ("spaghetti bowl") undermines the MFN principle.
- Critics argue the rules favour developed economies, particularly on agriculture and intellectual property; others argue the WTO constrains legitimate environmental and labour regulation.

8. Economic Growth and Economic Development

Economic growth is an increase in real output (real GDP). **Economic development** is a wider concept: a sustained improvement in living standards and in people's capabilities, including health, education, freedom of choice and reduced poverty and inequality. Growth is usually necessary for development but is not sufficient.

8.1 Measures of Development

Measure	What it captures	Limitations
Real GNI per capita (PPP)	Average income of residents, adjusted for price level differences between countries.	An average — says nothing about distribution; ignores non-market and informal activity, which is large in low-income countries; ignores health, education and the environment.
Human Development Index (HDI)	A composite of life expectancy at birth, education (mean and expected years of schooling) and GNI per capita (PPP), scored from 0 to 1.	Equal weighting of the three components is arbitrary; ignores inequality (the Inequality-adjusted HDI corrects for this), political freedom, gender and environmental quality; data quality varies.
Multidimensional Poverty Index (MPI)	Deprivation across health, education and living standards at household level.	Data-intensive and infrequently collected; thresholds are judgement-based.
Other indicators	Infant and maternal mortality, adult literacy, access to clean water and sanitation, mobile and internet penetration, the Gini coefficient.	Single indicators capture only one dimension; must be used together.

8.2 Barriers to Growth and Development

Barrier	Explanation
Low savings and the savings gap	Low incomes mean low saving, so there is little domestic finance for investment. Capital per worker stays low, productivity stays low, and incomes stay low — the Harrod–Domar model's poverty trap.
Poor infrastructure	Unreliable power, poor roads, ports and telecommunications raise the cost of doing business and limit market size.
Weak human capital	Low school enrolment and completion, poor health and high disease burden reduce labour productivity.
Primary product dependency	Narrow specialisation in a few commodities exposes the economy to volatile world prices, and the Prebisch–Singer hypothesis suggests a long-run deterioration in the terms of trade for primary exporters. Related risks: the Dutch disease and the "resource curse".
Weak institutions and corruption	Insecure property rights, unenforceable contracts, political instability and corruption deter both domestic and foreign investment.
Debt burden	High external debt service diverts government revenue away from health, education and infrastructure.
Capital flight and brain drain	Domestic savings and skilled workers leave for safer or better-paid destinations.
Rapid population growth	Output growth may be absorbed by population growth, leaving GDP per capita flat, and a high dependency ratio strains public services.
Trade barriers in rich countries	Agricultural protection and tariff escalation (higher tariffs on processed than on raw goods) block the move up the value chain.

8.3 Strategies to Promote Growth and Development

Strategy	How it works	Evaluation
Trade liberalisation and export-led	Opening to trade allows specialisation according to	Worked spectacularly in East Asia, but requires infrastructure, skills and

growth	comparative advantage, access to larger markets and economies of scale.	institutions. Premature liberalisation can destroy infant industries.
Attracting FDI	Fills the savings gap, brings technology, management expertise and access to the MNC's global distribution network.	Profits may be repatriated; enclaves with few local linkages; competitive tax and regulatory concessions can leave little net benefit.
Investment in human capital and infrastructure	Raises productivity and shifts LRAS right; generates positive externalities.	Very long time lags; requires effective government and a tax base to fund it.
Aid	Grants and concessional loans can fund investment that the private sector will not.	Risk of dependency, corruption and tied aid; evidence on effectiveness is mixed and depends heavily on institutional quality.
Debt relief	Releases revenue for development spending (e.g. the HIPC initiative).	Moral hazard; only helps if the freed resources are well spent.
Microfinance	Small loans to entrepreneurs excluded from formal banking, relaxing the credit constraint.	High interest rates; evidence of large aggregate effects is weak; best seen as a complement, not a substitute, for structural reform.
Industrial policy and diversification	Targeted support to move out of primary products into manufacturing and services.	Government failure — picking winners is hard, and support can be captured by vested interests.
Institutional reform	Property rights, rule of law, anti-corruption measures, macroeconomic stability.	Increasingly seen as the binding constraint; but institutions change slowly and cannot simply be imported.

Evaluation: What determines whether a development strategy works?

- **Initial conditions matter.** Trade liberalisation delivers very different results for a country with a skilled workforce and functioning ports than for one without.
- **Sequencing matters.** Most successful East Asian economies invested in education and infrastructure and used selective protection *before* liberalising fully.
- **Market failure and government failure both apply.** The case for intervention rests on externalities and missing markets; the case against rests on corruption, information problems and regulatory capture. The right answer is rarely "all market" or "all state".
- **Sustainability.** Growth that depletes natural capital or worsens inequality may not raise development at all — hence the value of using HDI, MPI and Gini alongside GDP.

9. Key Terms Summary

Term	Definition
Globalisation	Increasing integration and interdependence of national economies through trade, capital, labour and technology flows.
Absolute advantage	Producing more of a good with the same resources than another country.
Comparative advantage	Producing a good at a lower opportunity cost than another country.
Terms of trade	$(\text{Index of export prices} \div \text{index of import prices}) \times 100$.
Non-tariff barrier	Any regulatory or administrative obstacle that raises the cost of importing (standards, rules of origin, SPS checks).
Current account	Trade in goods, trade in services, primary income (cross-border wages and investment income) and secondary income (transfers such as aid and remittances).
Marshall–Lerner condition	A depreciation improves the current account only if $PED(X) + PED(M) > 1$.

J-curve	The time path by which the current account first worsens and then improves after a depreciation.
Trade creation / trade diversion	Creation: a switch from a higher-cost domestic to a lower-cost partner producer — welfare-improving. Diversion: a switch from a lower-cost non-member to a higher-cost member — welfare-reducing.
Customs union	Free internal trade plus a common external tariff.
Monetary union	A single currency and a single central bank across member states.
Economic development	Sustained improvement in living standards and capabilities, wider than growth in real GDP.

Exam Tip — essay structure for this topic: AQA 25-mark questions on the international economy almost always reward a clear diagram (tariff, forex or AD/AS), one quantified real-world example, and an explicit "it depends" chain. The strongest evaluation lines are: *it depends on elasticities* (Marshall–Lerner), *it depends on the time period* (J-curve, supply-side lags), *it depends on the cause* (cyclical vs structural deficit), *it depends on the reaction of others* (retaliation), and *it depends on the counterfactual* (what would have happened anyway).